GOVERNMENT OF INDIA

Ministry of Civil Aviation

Connecting India,
Empowering Progress

Confidential and Proprietory
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SHRI NARENDRA MODI

HONORABLE PRIME MINISTER, INDIA

MESSAGE



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SHRI KINJARAPU RAM MOHAN NAIDU

HONORABLE MINISTER, MINISTRY OF CIVIL AVIATION



MESSAGE

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DIRECTOR GENERAL, CHAMBER OF COMMERCE AND INDUSTRIES OF INDIA



MESSAGE

India's civil aviation sector has emerged as one of the fastest-growing aviation markets globally, serving as a vital catalyst for economic development, tourism, regional connectivity, trade, investment, and employment generation. The Ministry of Civil Aviation continues to play a transformative role in expanding aviation infrastructure, strengthening air connectivity, promoting technological innovation, and enhancing passenger experience across the country.

The Chamber of Commerce and Industries of India (CCI India) is committed to supporting the Ministry's efforts by fostering collaboration among government agencies, airport operators, airlines, investors, infrastructure developers, technology companies, startups, and academic institutions. Through policy advocacy, investment facilitation, industry partnerships, innovation promotion, and skill development initiatives, CCI India seeks to contribute towards building a globally competitive and sustainable aviation ecosystem.

This Knowledge Paper presents a comprehensive analysis of the Ministry's policy landscape, infrastructure initiatives, regulatory framework, emerging investment opportunities, technological advancements, and collaborative prospects across the aviation value chain. It also highlights opportunities in airport development, aviation manufacturing, cargo logistics, drone technologies, green aviation, digital transformation, and regional air connectivity.

The publication serves as a strategic resource for policymakers, aviation professionals, investors, infrastructure developers, technology providers, entrepreneurs, financial institutions, and development organizations seeking to participate in India's rapidly expanding aviation sector. By encouraging informed collaboration, it aims to accelerate infrastructure development, promote innovation, strengthen competitiveness, and support sustainable sectoral growth.

As India advances towards becoming a global aviation hub, strong partnerships between government and industry will remain fundamental to unlocking the sector's full potential. CCI India remains dedicated to supporting the Ministry of Civil Aviation in driving inclusive, sustainable, and future-ready aviation development.

Munindra Kumar
Director General
CCI India

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PREFACE

India's civil aviation sector stands at a transformational inflection point. As the world's third-largest domestic aviation market and a nation committed to the ambitious vision of Viksit Bharat 2047, the Ministry of Civil Aviation (MoCA) occupies a position of extraordinary strategic relevance in the country's infrastructure, economic, and connectivity narrative. Aviation is no longer merely a mode of transport it is a critical enabler of trade, tourism, employment, regional integration, and national competitiveness.

This Knowledge Paper has been prepared by CCI India Chamber of Commerce and Industry of India as a high-quality, research-driven strategic document to illuminate the landscape of India's civil aviation sector, articulate its transformation trajectory, and propose a structured framework for sustained collaboration between CCI India and the Ministry of Civil Aviation. It is not a descriptive ministry overview. It is an analytical, insight-driven advisory document designed to inform, engage, and catalyse action.

The Ministry of Civil Aviation governs an ecosystem that encompasses commercial aviation, airport infrastructure, air navigation services, aircraft manufacturing, aviation safety, MRO (Maintenance, Repair & Overhaul), aviation education and skills, drone technology, helicopter services, and regional connectivity. Each of these sub-sectors carries substantial policy, investment, and institutional dimensions all of which offer meaningful entry points for CCI India's engagement.

CCI India brings to this collaboration a unique combination of institutional credibility, industry representation, policy advocacy experience, research capability, startup ecosystem connections, and investor networks. As an apex industry body committed to India's economic advancement, CCI India is well-positioned to serve as a strategic implementation partner, policy facilitator, knowledge anchor, and ecosystem builder for the Ministry's transformative agenda.

This Knowledge Paper is intended as a foundation for a structured, long-term partnership between CCI India and the Ministry of Civil Aviation one that creates shared value for industry, government, investors, and citizens alike. It is submitted with the hope that it will serve as a credible reference document for senior government officials, policymakers, institutional investors, and industry leaders as they chart India's aviation future.

Chamber of Commerce and Industry (CCI India)

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About CCI India

CCI India (The Chamber of Commerce and Industry of India) is a premier national business chamber dedicated to fostering economic growth, industry development, entrepreneurship, innovation, and investment promotion across India. As the voice of Indian business and industry, CCI India serves as a bridge between government, industry, startups, academia, investors, and civil society, facilitating meaningful collaboration for nation-building and sustainable development.

Through policy advocacy, business facilitation, research, stakeholder engagement, capacity building, and strategic partnerships, CCI India works to create an enabling environment for enterprises of all sizes. The Chamber actively supports key national initiatives such as Startup India, Make in India, Digital India, Atmanirbhar Bharat, Skill India, and Viksit Bharat 2047 by connecting innovative enterprises with government opportunities and promoting inclusive economic development.

CCI India operates through sector-specific councils, industry forums, knowledge platforms, and state-level engagements that address emerging opportunities and challenges across sectors including manufacturing, agriculture, technology, healthcare, education, infrastructure, sustainability, MSMEs, and startups. The Chamber regularly organizes policy dialogues, investment summits, business delegations, workshops, conferences, and knowledge-sharing initiatives to strengthen India's economic ecosystem.

With a strong commitment to innovation, entrepreneurship, and public-private collaboration, CCI India strives to empower enterprises, facilitate investment, enhance competitiveness, and contribute to India's journey toward becoming a globally competitive and economically resilient nation. Its role as a knowledge partner and industry catalyst enables ministries, departments, state governments, startups, and businesses to collaborate effectively in achieving national development objectives.

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Introduction to the Ministry of Civil Aviation

1.1 Constitutional and Statutory Mandate

The Ministry of Civil Aviation derives its authority from Entry 29 of the Union List (List I) of the Seventh Schedule to the Constitution of India, which vests in the Union Government exclusive legislative and executive jurisdiction over airways, aircraft, and air navigation. This constitutional entrustment reflects the inherently national character of aviation requiring unified standards for safety, security, airspace management, and international treaty compliance. The Ministry operates under the Aircraft Act, 1934 (as amended), the Airports Authority of India Act, 1994, the Airports Economic Regulatory Authority of India Act, 2008, and various bilateral Air Services Agreements (ASAs) governing international civil aviation. It is the designated authority under the Chicago Convention on International Civil Aviation (1944), making India's compliance obligations simultaneously national and international in character.

1.2 Institutional Mandate and Governance Role

The Ministry's core mandate encompasses five interlocking functions: policy formulation for the civil aviation sector; regulation and oversight of aviation safety and security; development and management of airport infrastructure; facilitation of airline operations and air connectivity; and promotion of emerging aviation technologies including drones, urban air mobility, and sustainable aviation. Beyond these core functions, the Ministry has evolved into a developmental agency, particularly through the UDAN Regional Connectivity Scheme, which uses aviation as a tool for socioeconomic inclusion connecting aspirational districts, pilgrimage sites, remote areas, and economically underserved towns to the national air network. This dual role regulator and developer makes MoCA uniquely complex among central ministries.

1.3 Organizational Overview

The Ministry is headed by a Cabinet Minister (Union Minister of Civil Aviation) and supported by a Minister of State. The Ministry's administrative machinery includes the Secretary (Civil Aviation) at the apex of the bureaucratic structure, supported by Additional Secretaries, Joint Secretaries, and Directors handling specific portfolio areas including airports, airlines, regulations, international aviation, helicopter and small aircraft operations, drone policy, and skills. The Ministry exercises oversight over a network of statutory bodies, regulatory authorities, and attached offices that together constitute the governance architecture of India's aviation ecosystem.

1.4 National Significance

Civil aviation's national significance transcends transport logistics. It is a multiplier sector each rupee invested in airport infrastructure generates an estimated economic multiplier effect of INR 8–12 in the broader economy, through tourism, trade facilitation, logistics efficiency, and business travel. Aviation contributes approximately 1.5% directly to India's GDP and an estimated 5–6% when indirect and catalytic effects are included. For India's Northeast, island territories (Andaman & Nicobar, Lakshadweep), Himalayan states, and tribal regions, aviation is often the only viable connectivity option making it a social equity instrument as much as an economic one. The Ministry's work is therefore woven into the fabric of national development, regional integration, and India's global positioning.

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Historical Timeline of the Ministry

2.1 Evolution of Indian Civil Aviation

India's civil aviation journey spans over a century from the first airmail service in 1911 to the world's fastest-growing aviation market in the 21st century. The trajectory has been marked by periods of state monopoly, liberalisation, consolidation, crisis, and reinvention. Understanding this evolution is essential to appreciating the structural DNA of the sector and identifying where transformational change remains incomplete.

Period	Milestone / Reform	Strategic Significance
1911–1932	First Airmail Service (Allahabad–Naini); Tata Airlines established (1932)	Foundation of commercial aviation; Tata Airlines becomes Air India
1933–1953	Multiple private carriers; Civil Aviation Dept. established; Air Corporations Act 1953 nationalises aviation	State monopoly era; government takes control of air transport
1972–1994	International Air Transport Authority (IATA) membership; AAI constituted (1994); Open Sky debates begin	Institutional consolidation; AAI created as unified airport authority
1994–2003	Open Sky Policy; entry of private carriers (Jet, Sahara); Airports Authority of India Act, 1994	Liberalisation begins; private competition enters domestic aviation
2004–2008	National Civil Aviation Policy consultation; Air India–Indian Airlines merger; Airport modernisation Delhi & Mumbai	PPP model adopted for flagship airports; international standard infrastructure
2010–2016	Kingfisher crisis; Civil Aviation Requirements (CARs) overhaul; UDAN Scheme conceptualised	Sector reform accelerates post-crisis; regional connectivity becomes priority
2016–2019	UDAN 1.0 launch; National Civil Aviation Policy 2016; Digi Yatra initiative; AAI airport expansion programme	Paradigm shift aviation as inclusive growth instrument; digital transformation

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